

Sales Contracts in Michigan

What's in the Contract?

A sales contract is a detailed agreement between the seller and buyer of a piece of real estate. In the sales contract, the terms and conditions of the sale, as well as the legal rights and obligations of both parties, are established. Because they convey an interest in real property, sales contracts are covered by the Statute of Frauds, and must be in writing and signed by the parties to be enforceable. As a licensee in Michigan, you're likely to encounter sales contracts that look very different from one another. Unlike some other states, Michigan doesn't mandate the use of any particular sales contract, but it's common practice to use pre-printed forms that are published by professional real estate associations or drafted in-house by a brokerage's legal team.

Sales contracts generally should specify:

- Names of the parties involved (buyer and seller or their legal representatives)
- Legal description and/or street address of the property
- Purchase price and amount of any earnest money (initial deposit)
- Source of funds for purchase and distribution of closing costs (loan, land contract, cash, proceeds from the sale of buyer's other property, or other)
- List of personal property to be included in the sale and real property to be excluded, if any
- How prorations and other charges will be handled
- Date, time, and place of closing
- Date the transfer of possession of the property will occur (if it's not the same as closing)
- Mortgage contingency and financing terms, if the buyer is obtaining financing
- Other contingencies and inspections
- Deadline for response by seller
- Option for seller to counter-offer or reject buyer's offer
- Signatures for offer (buyer) and acceptance (seller)

When an Offer Becomes a Contract

Until the sales contract is signed by both parties to the sale, it's a unilateral offer to purchase, which may be terminated in multiple ways-typically by acceptance, rejection, or a counter-offer. Before an offer is accepted in writing, however, it may also be withdrawn by the offeror (typically a buyer, but sometimes the seller, when making a counter-offer). When the contract is signed by both parties, it becomes a legally binding, bilateral contractual agreement between the buyer and seller. Please note that in real estate contracts, the terms "buyer" and "seller" may be singular or plural. If the buyer or seller are a married couple, both spouses must sign.

"As Is" Listings in Michigan

Generally, when a property is listed "as is," it means the seller is not liable for the condition of the property. Listing property for sale "as is" is common practice in Michigan and in other states, sometimes due to the high number of distressed property transactions, such as short sales or bank-owned properties. Even in an "as-is" sale, however, the sales contract typically includes a property inspection contingency that allows the buyer to back out of the sale if the property inspection reveals repair issues the buyer is unwilling to accept. In the sale of non-distressed properties, it's common in Michigan to negotiate repairs between the parties, regardless of whether the property is listed "as is."